Table 41.3 Cumulative Failure Rates

Maximum Price Decline (%)	Bull Market	Bear Market
5 (breakeven)	536 or 19%	38 or 5%
10	617 or 40%	96 or 18%
15	493 or 58%	109 or 33%
20	362 or 71%	110 or 48%
25	239 or 79%	82 or 60%
30	184 or 85%	78 or 70%
35	148 or 91%	59 or 78%
50	204 or 98%	116 or 94%
75	63 or 100%	42 or 100%
Over 75	1 or 100%	0 or 100%

Another way to use Table 41.3 is with price prediction. Suppose the measure rule (see Trading Tactics) suggests a decline to 8 from the breakout of 10. That is a 20% decline. How many head-and-shoulders tops in bull markets will fail to see price drop more than 20%? Answer: 71%. This finding suggests the measure rule prediction is unlikely to be met. Set a closer price target. Price may still drop that far or even farther, but the odds are against it.

Table 41.4 shows breakout-related statistics.

Breakout direction. By definition, the breakout is downward all of the time. If price closes above the top of the head-and-shoulders top, then you don't have a valid head-and-shoulders pattern.

Yearly position, performance. The best performing patterns occur when the breakout is in the middle of the yearly trading range. However, the performance differences are slight so they might not be statistically significant.

Pullbacks. Pullbacks occur about two-thirds of the time. It takes less than 2 weeks after the breakout for price to complete the return trip back to the breakout price. When a pullback does occur, performance suffers, and quite